can be profitably employed, and diverting it from other business activities where additional capital is neither required nor justified. Economists tell us that business depressions are to a large degree due to a disproportion and maladjustment of capital between the many departments of modern business. Today there are over 1,000 separate stock issues and nearly 1,400 separate corporation bond issues listed on the New York Stock Exchange. Thus a vast panorama of American and even foreign commercial and industrial enterprise is set before the countless thousands of modern investors, with current quotations available on the tape or in the newspapers. More and more the stock market tends to rise and fall by groups of securities rather than as a whole. In a given year, steel securities—let us say—may be dull, while railway securities experience an active and rising market. In a general way, such a development would indicate that more investment capital is needed in railroading but not—for the time being at least—in the steel industry. During every so-called "boom" in the stock market, certain groups of securities will lag behind, while during every stock-market depression certain groups will decline very little. It is the Stock Exchange which brings out these inevitable economic tendencies into the light, which makes them evident to the man in the street, and thereby provides the machinery for a swift and intelligent mobilization of public opinion in regard to the proper direction of the nation's investable funds. The consequence of this perfectly normal and therefore frequently overlooked process is, that American industry more and more is able to avoid a glut of capital in one place and a famine of capital in another. The steady and accurate guidance of investment funds into the different departments of American business is a major stabilizing force in prosperity, and the New York Stock Exchange proves each year a principal factor in facilitating it.

But stabilization, as I have already pointed out, should by no means involve inflexible and unchangeable prices. It is